

# chapter 2

## Investing and Financing Decisions and the Accounting System

# Financial Accounting

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Libby • Libby • Hodge

# Learning Objectives

After studying this chapter, you should be able to:

- 2-1** Define the key accounting assumptions, principles, and elements related to the balance sheet.
- 2-2** Identify what constitutes a business transaction and recognize common balance sheet account titles used in business.
- 2-3** Apply transaction analysis to simple business transactions in terms of the accounting equation:  $\text{Assets} = \text{Liabilities} + \text{Stockholders' Equity}$ .
- 2-4** Determine the impact of business transactions on the balance sheet using two basic tools: journal entries and T-accounts.
- 2-5** Prepare a trial balance and simple classified balance sheet and analyze the company using the current ratio.
- 2-6** Identify investing and financing transactions and demonstrate how they impact cash flows.

# Understanding the Business

To understand amounts appearing on a company's balance sheet:

**What business activities cause changes in the balance sheet from one period to the next?**

**How do specific business activities affect each of the balance sheet amounts?**

**How do companies keep track of the balance sheet amounts?**

## Tip

Focus on learning the material well in Chapters 2, 3, and 4 since it is essential to understanding the rest of the chapters in the text. Commit your time now. It will pay off later.

# Learning Objective 2-1

**2-1** Define the key accounting assumptions, principles, and elements related to the balance sheet.

# What Information is Included in the Balance Sheet? (1 of 2)

## Recognition and Measurement Concepts

*Three assumptions and a measurement concept underlie the definitions of financial statement elements.*

### Assumptions

- Separate entity assumption: each business's activities must be accounted for separately from the personal activities of the owners, all other persons, and other entities.
- Going concern assumption (continuity assumption): it is assumed that the business will continue operating into the foreseeable future, long enough to meet its contractual commitments and plans.
- Monetary unit assumption: each business entity accounts for and reports its financial results primarily in terms of the national monetary unit (e.g., dollars in the United States and euros in Germany) without any adjustments for changes in purchasing power.

### Measurement Concept

- Historical cost: the balance sheet elements are initially recorded at their cost (the cash equivalent on the date of the transaction).

# What Information is Included in the Balance Sheet? (2 of 2)

## Elements of the Balance Sheet

The **elements** of a corporation's balance sheet are:

- ❖ Assets
- ❖ Liabilities
- ❖ Stockholders' equity

## Elements of the Balance Sheet: **Assets**

**Assets:** *Economic resources owned or controlled by a company; they have measurable value and are expected to benefit the company by producing cash inflows or reducing cash outflows in the future.*

- Assets are listed on the balance sheet in order of liquidity.
- Assets are grouped as current or long-term assets.
  - Current assets are resources the company will use or turn into cash within one year. *Examples include: Cash, Short-Term Investments, Accounts Receivable, Supplies, Inventories, and Prepaid Expenses*
  - Long term (or noncurrent) assets are to be used or turned into cash after a year. *Examples include Property and equipment (Land, Buildings, and Equipment), Operating lease Assets (rented assets), Intangibles, and Investments in other companies (stocks and bonds).*

## Elements of the Balance Sheet: **Liabilities**

***Liabilities:*** *Obligations resulting from a past transaction; they are expected to be settled in the future by transferring assets or providing services.*

- Entities that a company owes money to are called **creditors**.
- Listed in order of maturity (how soon an obligation is to be paid) and grouped by current and noncurrent (long-term).
  - Current liabilities will need to be paid or settled within one year. *Examples: Accounts Payable, Unearned Revenue, Accrued Expenses Payable, Current Lease Liabilities, and others.*
  - Noncurrent liabilities have due dates beyond one year. *Examples: Notes Payable and Long-term Lease Liabilities.*
- Distinguishing current assets and current liabilities assists external users of the financial statements in assessing the amounts and the timing of future cash flows.

## Elements of the Balance Sheet: **Stockholders' Equity**

***Stockholders' Equity:*** Represents the residual interest in the assets of the entity after subtracting liabilities. It is a combination of the financing provided by the owners and by business operations.

**Financing Provided by Owners** is referred to as **contributed capital**.

- Owners invest in the business by providing cash and sometimes other assets, receiving in exchange shares of stock as evidence of ownership.
- Use the accounts Common Stock and Additional Paid-in Capital to represent the amount investors paid when they purchased the stock from the company.
- The Treasury Stock account represents the amount the company paid to its investors to repurchase common stock. Treasury Stock **reduces** stockholders' equity.

**Financing Provided by Operations** is referred to as **earned capital** or retained earnings.

- The portion of profits reinvested in the business is called Retained Earnings.
- Losses and dividends decrease the Retained Earnings account.

# Exhibit 2.1 Chipotle Mexican Grill, Inc., Balance Sheet (1 of 2)

| CHIPOTLE MEXICAN GRILL, INC.                        |                            |         | EXPLANATIONS                                                     |
|-----------------------------------------------------|----------------------------|---------|------------------------------------------------------------------|
| Consolidated Balance Sheet*                         |                            |         |                                                                  |
| December 31, 2023                                   |                            |         |                                                                  |
| (in millions of dollars, except for per share data) |                            |         |                                                                  |
| <b>ASSETS</b>                                       |                            |         |                                                                  |
| Current Assets                                      | Current Assets:            |         |                                                                  |
|                                                     | Cash                       | \$ 561  |                                                                  |
|                                                     | Short-term investments     | 735     | Ownership of other entities' stocks and bonds                    |
|                                                     | Accounts receivable        | 169     | Amounts due from customers and others                            |
|                                                     | Supplies                   | 39      | Food, beverage, and packaging supplies on hand                   |
|                                                     | Prepaid expenses           | 117     | Rent, advertising, and insurance paid in advance                 |
|                                                     | Total current assets       | 1,621   | Summary of assets to be used or turned into cash within one year |
| Noncurrent Assets                                   | Property and Equipment:    |         |                                                                  |
|                                                     | Land                       | 13      | Cost of real property exclusive of any buildings on it           |
|                                                     | Buildings                  | 2,758   | Buildings owned and improvements of facilities                   |
|                                                     | Equipment                  | 1,381   | Includes furniture and fixtures                                  |
|                                                     | Total cost                 | 4,152   | Cost of property and equipment at date of acquisition            |
|                                                     | Accumulated depreciation   | (1,982) | Amount of cost used in past operations                           |
|                                                     | Net property and equipment | 2,170   |                                                                  |
|                                                     | Long-term investments      | 564     | Ownership of other entities' stocks and bonds                    |
|                                                     | Operating lease assets     | 3,579   | Facilities rented under leases with right to use the assets      |
|                                                     | Intangible assets          | 110     | Rights, such as patents, trademarks, and licenses                |
|                                                     | Total assets               | \$8,044 |                                                                  |

## Exhibit 2.1 Chipotle Mexican Grill, Inc., Balance Sheet (2 of 2)

| LIABILITIES AND STOCKHOLDERS' EQUITY                                                      |                                            |                |
|-------------------------------------------------------------------------------------------|--------------------------------------------|----------------|
| Current Liabilities:                                                                      |                                            |                |
| Current Liabilities                                                                       | Accounts payable                           | \$ 198         |
|                                                                                           | Unearned revenue                           | 210            |
|                                                                                           | Accrued expenses payable:                  |                |
|                                                                                           | Wages payable                              | 227            |
|                                                                                           | Utilities payable                          | 148            |
|                                                                                           | Current operating lease liabilities        | 248            |
|                                                                                           | Total current liabilities                  | 1,031          |
| Noncurrent Liabilities                                                                    | Notes payable                              | 148            |
|                                                                                           | Long-term operating lease liabilities      | 3,803          |
|                                                                                           | Total liabilities                          | 4,982          |
| Stockholders' Equity:                                                                     |                                            |                |
| Stockholders' Equity                                                                      | Common stock (\$0.01 par value)            | 1              |
|                                                                                           | Additional paid-in capital                 | 1,956          |
|                                                                                           | Treasury stock                             | (4,945)        |
|                                                                                           | Retained earnings                          | 6,050          |
|                                                                                           | Total stockholders' equity                 | 3,062          |
|                                                                                           | Total liabilities and stockholders' equity | <u>\$8,044</u> |
| *The information has been adapted from actual statements and simplified for this chapter. |                                            |                |

*Amount due to suppliers*

*Unredeemed gift cards*

*Amount due to employees*

*Amount due for electric, gas, and telephone utilities*

*Amount due on rented facilities within the next year*

*Summary of liabilities to be settled within one year*

*Amount owed on loans from banks and other obligations*

*Amount due on rented facilities after one year*

*Total par value of stock issued by company to investors*

*Excess amount received from investors over par*

*Amount paid to repurchase its own stock from investors*

*Undistributed earnings reinvested in the company*

# Unrecorded but Valuable Assets and Liabilities



## FINANCIAL ANALYSIS

Many very valuable intangible **assets**, such as trademarks, patents, and copyrights are **not reported** on the balance sheet.

Intangible assets not reported include:

- ✓ Assets developed inside a company (not purchased)
- ✓ Assets developed over time through research, development, and advertising (not purchased).
- ✓ *e.g., Coca-Cola does not report the value of its patented Coke formula!*

Some **liabilities**, called off-balance-sheet financing, are **not reported** as liabilities on the balance sheet.

- ✓ e.g., leases with an initial term of 12 months or less.

*Other **potential obligations** that are not on the balance sheet are required to be disclosed in the notes to the financial statements, usually called “Commitments and Contingencies”.*

***Read the notes to the financial statements to find this important information!***

# Learning Objective 2-2

**2-2** Identify what constitutes a business transaction and recognize common balance sheet account titles used in business.

# What Business Activities Cause Changes in the Financial Statement Amounts?

## Nature of Business Transactions

Accounting focuses on events that have an economic impact on the entity. Accounting events are called **transactions**.

There are two types of events:

**External Events:** exchanges of assets, goods, or services by one party for assets, services, or promises to pay (liabilities) from another party or parties.

*Example: Purchase of a machine from a supplier.*

**Internal Events:** events that are not exchanges between the business and other parties but nevertheless have a direct and measurable effect on the entity.

*Example: Using up insurance that was previously paid in advance.*

Some events are not reflected in the financial statements. *For example, signing a contract is not considered to be an accounting transaction because it involves only the **exchange of promises, not assets**.*



## Accounts

Accounts are used by companies to accumulate the dollar effect of transactions.

- A list of all account titles and their unique numbers is called a **chart of accounts**.
- The accounts are usually organized by financial statement element, with asset accounts listed first, followed by liability, stockholders' equity, revenue, and expense accounts in that order.
- Each company has its own chart of accounts. Do not try to memorize a typical chart of accounts; instead focus on understanding the nature of each typical account **by where it is located in the financial statements**.

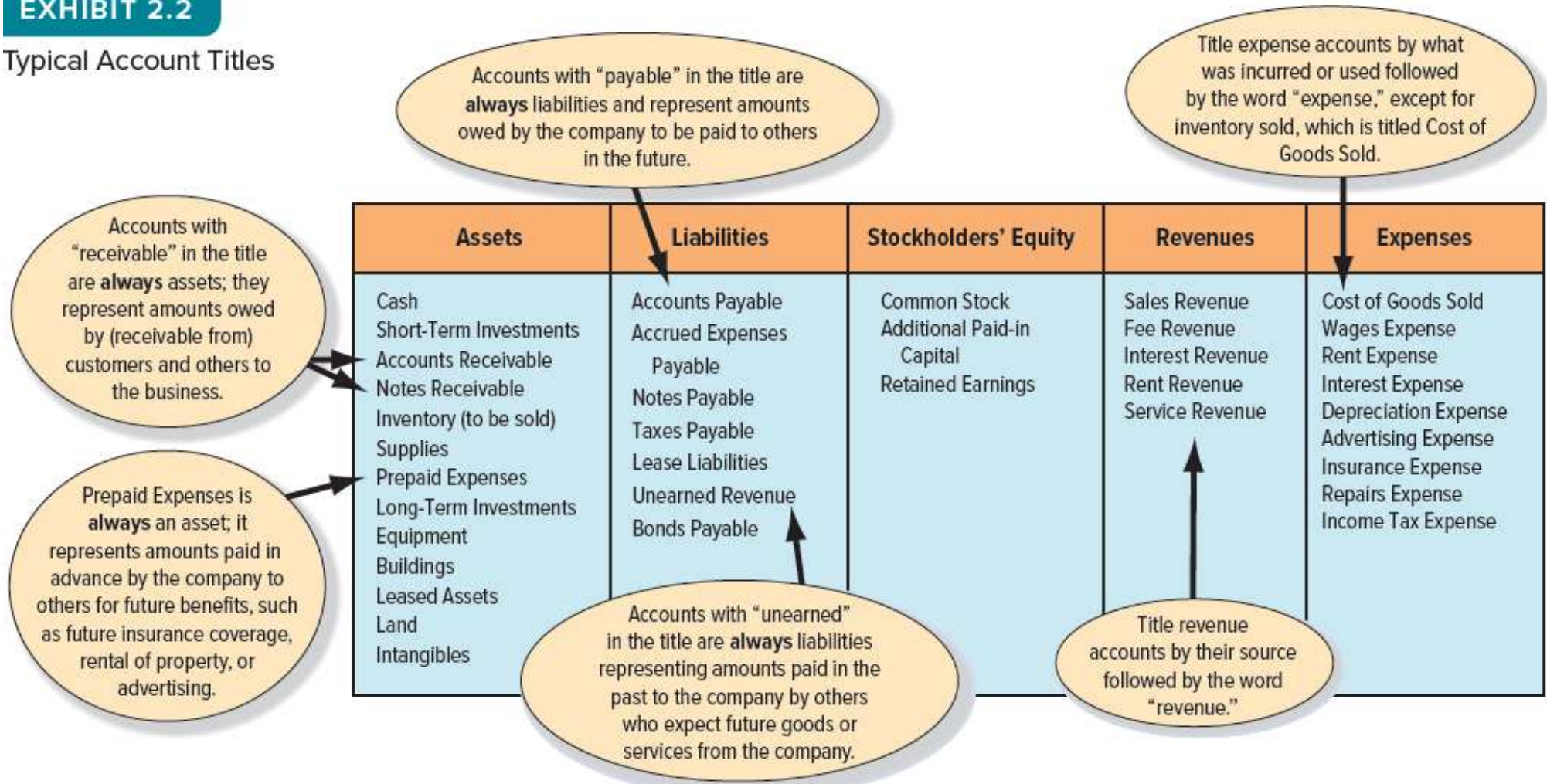
Examples of accounts include:

- Cash
- Inventories
- Accounts payable
- Retained earnings

# Exhibit 2.2 Typical Account Titles

## EXHIBIT 2.2

### Typical Account Titles



# Learning Objective 2-3

**2-3** Apply transaction analysis to simple business transactions in terms of the accounting equation:  $\text{Assets} = \text{Liabilities} + \text{Stockholders' Equity}$ .

# Principles of Transaction Analysis

Every transaction has at least two effects (**dual effects**) on the basic accounting equation. Most transactions with external parties involve an **exchange** where the business entity **both receives something and gives up something in return**.

**Here are the two principles of the transaction analysis process:**

- ❖ Every transaction affects at least two accounts.  
*Correctly identifying those accounts and the direction of the effect (whether an increase or a decrease) is critical!*
- ❖ The accounting equation must remain in balance after each transaction.

$$\text{Assets (A)} = \text{Liabilities (L)} + \text{Stockholders' Equity (SE)}$$

## Dual Effects (1 of 2)

The idea that every transaction has **at least two effects** on the basic accounting equation is known as the **dual effects** concept.

Transactions with external parties involve an exchange by which:

1. The business entity receives something, and
2. The business entity gives something in return.

Suppose Chipotle purchased tomatoes (supplies) and paid cash. Chipotle would receive supplies (increase assets) and in return give up cash (decrease assets).

| Transaction                 | Chipotle Received                                                                                                                                | Chipotle Gave                                                                                                                                  |                                                                                                                                                      |
|-----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------|
| Purchased tomatoes for cash | <div>Supplies<br/>(asset account increased)</div> <div></div> | <div>Cash<br/>(asset account decreased)</div> <div></div> | <div><math display="block">\begin{array}{ccccccc} A &amp; = &amp; L &amp; + &amp; SE \\ \hline +/ - &amp; &amp; &amp; &amp; \end{array}</math></div> |

## Dual Effects (2 of 2)

Now suppose Chipotle purchased tomatoes (supplies) and on credit (that is, money owed to suppliers). Chipotle would have two separate transactions at different points in time.

| Transaction                                       | Chipotle Received                                                                                                                                                           | Chipotle Gave                                                                                                                                                             |
|---------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| #1 Purchased tomatoes on credit                   | <b>Supplies</b><br>(asset account increased)<br>                                           | <b>Accounts Payable</b><br>A promise to pay later<br>(liability account increased)<br> |
| #2 Eventual payment of cash owed to the suppliers | <b>Accounts Payable</b><br>A promise was eliminated<br>(liability account decreased)<br> | <b>Cash</b><br>(asset account decreased)<br>                                         |

$$\begin{array}{ccccccc}
 \text{A} & = & \text{L} & + & \text{SE} \\
 \hline
 + & & + & & 
 \end{array}$$

$$\begin{array}{ccccccc}
 \text{A} & = & \text{L} & + & \text{SE} \\
 \hline
 - & & - & & 
 \end{array}$$

## Exhibit 2.3 Analyzing Investing and Financing Transactions

### Steps to follow in analyzing investing and financing transactions:

**Step 1:** Ask → What was **received**?

- Identify the account(s) affected
- Classify the account(s) by type of element:
  - Asset (A)
  - Liability (L)
  - Stockholders' Equity (SE)
- Determine the direction and amount of the effect(s):
  - The account increased (+)
  - The account decreased (−)

**Step 2:** Ask → What was **given**?

- Repeat—Identify, Classify, and Determine effect

**Step 3:** Verify → Is the **accounting equation** in balance? (Does  $A = L + SE$ ?)

**The accounting equation must remain in balance after each transaction.**

## Analyzing Chipotle's Transactions (1 of 9)

To illustrate the use of the transaction analysis process, let's consider transactions of **Chipotle** that are also common to most businesses.

Assume that Chipotle engages in the **following events during the first quarter of 2024**, the first three months following the balance sheet in Exhibit 2.1. Account titles are from that balance sheet. **All amounts are in millions, except per share data.**

## Analyzing Chipotle's Transactions (2 of 9)

(a) Chipotle issued (sold) 100 additional shares of common stock with a par value of \$0.01 per share at a market value of \$0.17 per share, receiving \$17 in cash from investors – a financing activity.

**Step 1:** What was **received**? (account name, type of account, amount, and direction of effect)

**Received:** Cash (+A) 17

**Step 2:** What was **given**?

**Given:** Additional stock shares → Common Stock (+SE) 1 (*100 shares × \$0.01 per share*)  
Additional Paid-in Capital (+SE) 16 (*100 shares × \$0.16 per share*)

**Step 3:** Verify that the **accounting equation** balances: A 17 = L 0 + SE 17

| Assets |  | = | Liabilities | + | Stockholders' Equity |                            |
|--------|--|---|-------------|---|----------------------|----------------------------|
| Cash   |  |   |             |   | Common Stock         | Additional Paid-in Capital |
| +17    |  |   |             |   | +1                   | +16                        |

## Analyzing Chipotle's Transactions (3 of 9)

**(b) Chipotle borrowed \$4 from its local bank, signing a note to be paid in three years (a noncurrent liability) – a financing activity.**

**Step 1:** What was **received**? (account name, type of account, amount, and direction of effect)

**Received:** Cash (+A) 4

**Step 2:** What was **given**?

**Given:** Written promises to pay the bank: Notes Payable (+L) 4 (*noncurrent*)

**Step 3:** Verify that the **accounting equation** balances:  $A\ 4 = L\ 4 + SE\ 0$

| Assets            | = | Liabilities                | + | Stockholders' Equity |
|-------------------|---|----------------------------|---|----------------------|
| <u>Cash</u><br>+4 |   | <u>Notes Payable</u><br>+4 |   |                      |

## Analyzing Chipotle's Transactions (4 of 9)

(c) Chipotle purchased for cash \$26 in new equipment and \$5 in additional intangible assets – an investing activity.

**Step 1:** What was **received**? (account name, type of account, amount, and direction of effect)

|                                 |    |
|---------------------------------|----|
| <b>Received:</b> Equipment (+A) | 26 |
| Intangible Assets (+A)          | 5  |

**Step 2:** What was **given**?

|                         |    |
|-------------------------|----|
| <b>Given:</b> Cash (−A) | 31 |
|-------------------------|----|

**Step 3:** Verify that the **accounting equation** balances:  $A = L + SE$

| Assets     |            |                   | = | Liabilities | + | Stockholders' Equity |
|------------|------------|-------------------|---|-------------|---|----------------------|
| Cash       | Equipment  | Intangible Assets |   |             |   |                      |
| <u>−31</u> | <u>+26</u> | <u>+5</u>         |   |             |   |                      |

## Accounting Chipotle's Transactions (5 of 9)

(d) Chipotle required \$20 in additional land and \$40 in new buildings for the right to use \$86 in assets under leases; paid \$29 in cash and \$6 in current operating lease liabilities and \$111 in long-term operating lease liabilities—an investing activity.

**Step 1:** What was **received**? (Account name, type of account, and direction of effect)

**Received:** Land (+A) 20  
Buildings (+A) 40  
Operating Lease Assets (+A) 86

**Step 2:** What was **given**?

**Given:** Cash (−A) 29  
Current Operating Lease Liabilities (+L) 6  
Long-Term Operating Lease Liabilities (+L) 111

**Step 3:** Verify that the **accounting equation** balances: A 117 = L 117

|      |           |                        | = |                                     | Liabilities                           | Stockholders' Equity |
|------|-----------|------------------------|---|-------------------------------------|---------------------------------------|----------------------|
| Cash | Buildings | Operating Lease Assets |   | Current Operating Lease Liabilities | Long-Term Operating Lease Liabilities |                      |
| -29  | +40       | +86                    |   | +6                                  | +111                                  |                      |

## Analyzing Chipotle's Transactions (6 of 9)

(e) Chipotle sold \$19 in its short-term investments for \$19 cash—an investing activity.

**Step 1:** What was **received**? (account name, type of account, amount, and direction of effect)

**Received:** Cash (+A) 19

**Step 2:** What was **given**?

**Given:** Short-Term Investments (−A) 19

**Step 3:** Verify that the **accounting equation** balances:  $A\ 0 = L\ 0 + SE\ 0$

| Assets |                        | = | Liabilities | + | Stockholders' Equity |
|--------|------------------------|---|-------------|---|----------------------|
| Cash   | Short-Term Investments |   |             |   |                      |
| +19    | −19                    |   |             |   |                      |

## Analyzing Chipotle's Transactions (7 of 9)

(f) Within the quarter, assume Chipotle paid \$1 on the note payable in (b) above (ignore any interest on the loan in this chapter)—a financing activity.

**Step 1:** What was **received**? (account name, type of account, amount, and direction of effect)

**Received:** Reduction in the amount owed:  
Notes Payable (−L) 1

**Step 2:** What was **given**?

**Given:** Cash (−A) 1

**Step 3:** Verify that the **accounting equation** balances:  $A (1) = L (1) + SE 0$

| Assets            | = | Liabilities                | + | Stockholders' Equity |
|-------------------|---|----------------------------|---|----------------------|
| <u>Cash</u><br>−1 |   | <u>Notes Payable</u><br>−1 |   |                      |

## Analyzing Chipotle's Transactions (8 of 9)

(g) Chipotle repurchased a portion of its issued common stock from investors for \$103 cash—a financing activity.

**Step 1:** What was **received**? (account name, type of account, amount, and direction of effect)

**Received:** Reduction in stockholders' equity (the owners' claims to the company's assets):  
Treasury Stock (–SE) 103

**Step 2:** What was **given**?

**Given:** Cash (–A) 103

**Step 3:** Verify that the **accounting equation** balances:  $A (103) = L 0 + SE (103)$

| Assets              | = | Liabilities | + | Stockholders' Equity          |
|---------------------|---|-------------|---|-------------------------------|
| <u>Cash</u><br>–103 |   |             |   | <u>Treasury Stock</u><br>–103 |

## Analyzing Chipotle's Transactions (9 of 9)

(h) Chipotle does not pay dividends, but instead reinvests profits into growing the business. However, for illustration purposes, **assume Chipotle's board of directors declared that the Company will pay a total of \$2 in cash as dividends to shareholders next quarter.**

**Step 1:** What was **received**? (account name, type of account, amount, and direction of effect)

**Received:** Reduction in owners' claims to the company's assets: Retained Earnings (−SE) 2

**Step 2:** What was **given**?

**Given:** A promise to pay: Dividends Payable (+L) 2

**Step 3:** Verify that the **accounting equation** balances:  $A\ 0 = L\ 2 + SE\ (2)$

| Assets | = | Liabilities       | + | Stockholders' Equity |
|--------|---|-------------------|---|----------------------|
|        |   | Dividends Payable |   | Retained Earnings    |
|        |   | +2                |   | −2                   |

## Transaction Analysis Wrap Up

In summary:

- ✓ Transaction analysis involves identifying accounts affected in a transaction (by title), recognizing that **at least two accounts are affected**, classifying the accounts (asset, liability, or stockholders' equity), and determining the direction of the effect on the account (increase or decrease).
- ✓ If all accounts and effects are correct, then the fundamental accounting equation ( $A = L + SE$ ) will remain in balance.
- ✓ **Practice is the most effective way to develop your transaction analysis skills.**

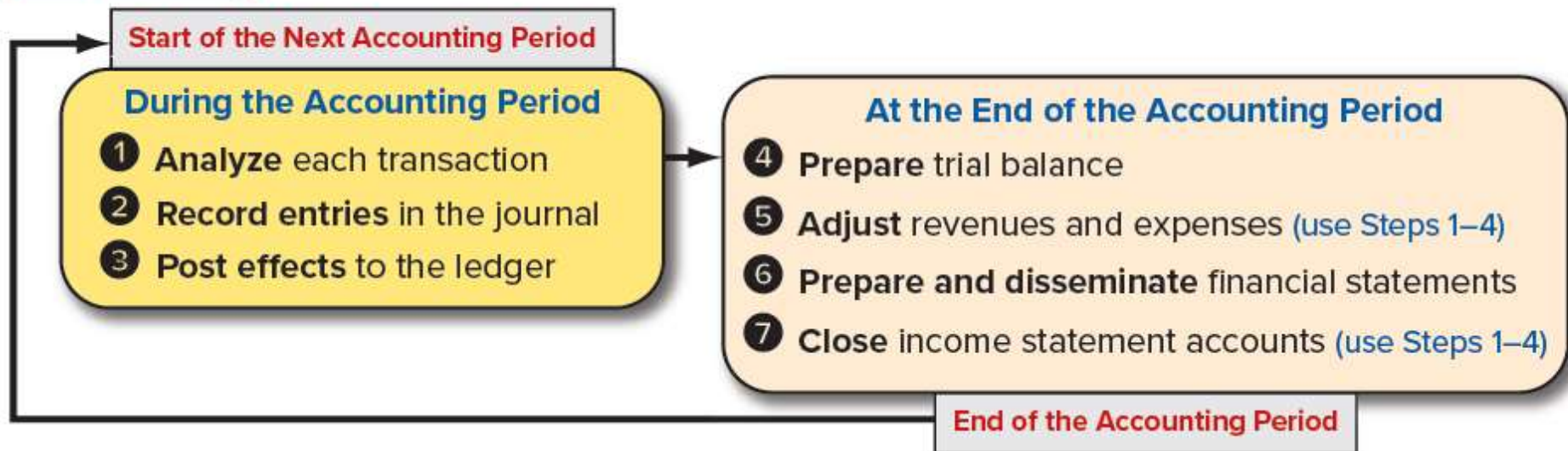
# Learning Objective 2-4

**2-4** Determine the impact of business transactions on the balance sheet using two basic tools: journal entries and T-accounts.

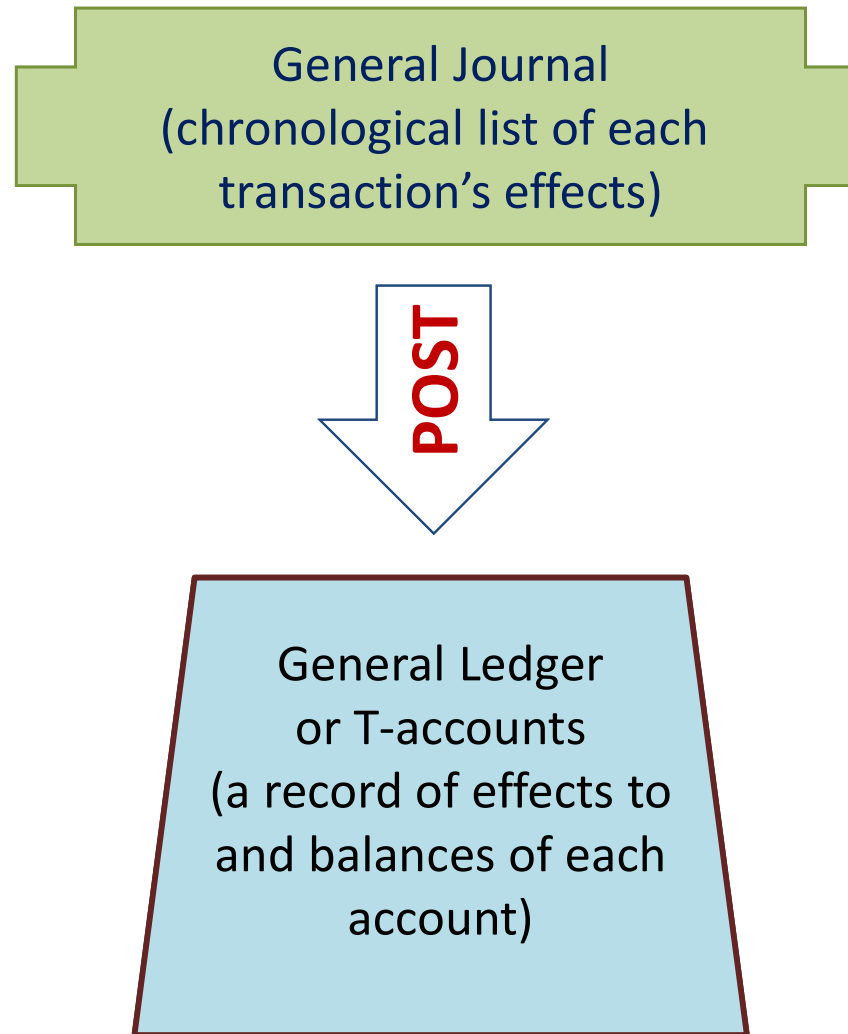
## Exhibit 2.4 The Accounting Cycle

To handle the multitude of daily transactions that a business generates, companies establish accounting systems, usually computerized, that follow a cycle.

**EXHIBIT 2.4** The Accounting Cycle



# How Do Companies Keep Track of Account Balances?



**Tip** As future business managers, you should develop your understanding and use of these tools in financial analysis.

For those studying accounting, this knowledge is the foundation for an understanding of the accounting system and future accounting coursework.

# Exhibit 2.5

## Basic Transaction Analysis Model

| ASSETS<br>(many accounts) |        | = | LIABILITIES<br>(many accounts) |        | + | STOCKHOLDERS' EQUITY                           |                                   |
|---------------------------|--------|---|--------------------------------|--------|---|------------------------------------------------|-----------------------------------|
|                           |        |   |                                |        |   | <i>Contributed Capital</i> (2 accounts)        | <i>Earned Capital</i> (1 account) |
| +                         | -      |   | -                              | +      |   | Common Stock and<br>Additional Paid-in Capital | Retained<br>Earnings              |
| Debit                     | Credit |   | Debit                          | Credit |   |                                                |                                   |
|                           |        |   |                                |        |   | +                                              | -                                 |
|                           |        |   |                                |        |   | Credit                                         | Debit                             |
|                           |        |   |                                |        |   | Investment<br>by owners                        | Dividends<br>declared             |
|                           |        |   |                                |        |   |                                                | +                                 |
|                           |        |   |                                |        |   |                                                | Credit                            |
|                           |        |   |                                |        |   |                                                | Net income                        |
|                           |        |   |                                |        |   |                                                | (expanded in<br>Ch. 3)            |



**Tip** Memorize and use the transaction analysis model for all transactions.

# Debits and Credits

In Summary:

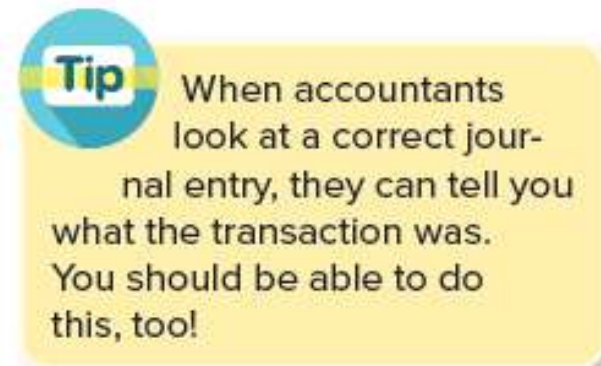
| Assets                              |  | = | Liabilities                          |  | + | Stockholders' Equity                 |  |
|-------------------------------------|--|---|--------------------------------------|--|---|--------------------------------------|--|
| ↑ with Debits                       |  |   | ↑ with Credits                       |  |   | ↑ with Credits                       |  |
| Accounts have <b>debit</b> balances |  |   | Accounts have <b>credit</b> balances |  |   | Accounts have <b>credit</b> balances |  |



**Tip** **Reminder:** Debit is on the left side and Credit is on the right side of a T-account. And that's it!

## The Journal Entry (1 of 2)

- In an accounting system, transactions are recorded in chronological order in a **general journal** (or, simply, journal).
- After analyzing the business documents (such as purchase invoices, receipts, and cash register tapes) that describe a transaction, the effects on the accounts are recorded in the journal using **debits** and **credits**.
- The **journal entry** is an accounting method for expressing the effects of a transaction on accounts.
- It is written in a debits-equal-credits format.



## The Journal Entry (2 of 2)

(a) Assume Chipotle issued (sold) 100 additional shares of common stock with a par value of \$0.01 per share at a market value of \$0.17 per share, receiving \$17 in cash from investors.

*Dollar signs are not needed!*

### Account Titles:

Debited accounts on top.

Credited accounts on bottom, usually indented.

### Amounts:

Debited amounts on left.

Credited amounts on right.

|                                  | Debit | Credit |
|----------------------------------|-------|--------|
| (a) Cash (+A)                    | 17    |        |
| Common stock (+SE)               |       | 1      |
| Additional paid-in capital (+SE) |       | 16     |

### Reference:

Letter,  
number, or  
date.

While you are learning, use the symbols A, L, and SE next to each account title in journal entries. For example, if cash is to be increased, write Cash (+A).

### Tip

The **debited** accounts (on top) represent what was **received**.

The **credited** accounts (on bottom) represent what was **given**.

# Exhibit 2.6

## Posting Transaction Effects from the Journal to the Ledger

| General Journal |            |                                  |       | Page <b>G1</b> |  |
|-----------------|------------|----------------------------------|-------|----------------|--|
| Date            | Ref.       | Account Titles and Explanation   | Debit | Credit         |  |
|                 |            | (in millions)                    |       |                |  |
| 1-2-24          | <b>101</b> | Cash (+A)                        | 17    |                |  |
|                 | <b>301</b> | Common stock (+SE)               |       | 1              |  |
|                 | <b>302</b> | Additional paid-in capital (+SE) |       | 16             |  |
|                 |            | (Investment by stockholders.)    |       |                |  |

| General Ledger |           |             |       | CASH <b>101</b> |         |
|----------------|-----------|-------------|-------|-----------------|---------|
| Date           | Ref.      | Explanation | Debit | Credit          | Balance |
|                |           | Balance     |       |                 | 561     |
| 1-2-24         | <b>G1</b> |             | 17    |                 | 578     |

| General Ledger |           |             |       | COMMON STOCK <b>301</b> |         |
|----------------|-----------|-------------|-------|-------------------------|---------|
| Date           | Ref.      | Explanation | Debit | Credit                  | Balance |
|                |           | Balance     |       |                         | 1       |
| 1-2-24         | <b>G1</b> |             |       | 1                       | 2       |

| General Ledger |           |             |       | ADDITIONAL PAID-IN CAPITAL <b>302</b> |         |
|----------------|-----------|-------------|-------|---------------------------------------|---------|
| Date           | Ref.      | Explanation | Debit | Credit                                | Balance |
|                |           | Balance     |       |                                       | 1,956   |
| 1-2-24         | <b>G1</b> |             |       | 16                                    | 1,972   |

# Exhibit 2.7

## T-Accounts Illustrated

Start with a beginning balance.

| + Cash (A) – |            |
|--------------|------------|
| Beg. balance | 561        |
| (a)          | 17         |
| End. balance | <u>578</u> |

Use the same reference as in the journal entry.

Draw a line across the T when you are ready to compute the ending balance.

| – Common Stock (SE) + |              |
|-----------------------|--------------|
| 1                     | Beg. balance |
| 1                     | (a)          |
| 2                     | End. balance |

Put the ending balance amount on the side of the T-account that it represents (e.g., + side if it is a positive number).

## Expressing the T-accounts as Equations

To find the account balances, we can express the T-accounts as equations:

|                          | Cash          | Common Stock |
|--------------------------|---------------|--------------|
| <b>Beginning balance</b> | \$ 561        | \$ 1         |
| <b>+ "+" side</b>        | + 17          | + 1          |
| <b>- "-" side</b>        | - 0           | - 0          |
| <b>Ending balance</b>    | <u>\$ 578</u> | <u>\$ 2</u>  |

# Inferring Business Activities from T-Accounts

## FINANCIAL ANALYSIS



In many cases, we will use T-accounts to determine what transactions a company engaged in during a period.

If we know the beginning and ending balances of Accounts Payable and the amount of purchases on account (for credit) during a period, we can determine the amount of cash paid.

| — Accounts Payable (L) +    |                            |
|-----------------------------|----------------------------|
|                             | 600 Beg. bal.              |
| Cash payments to suppliers? | 1,500 Purchases on account |
|                             | <u>300</u> End. bal.       |

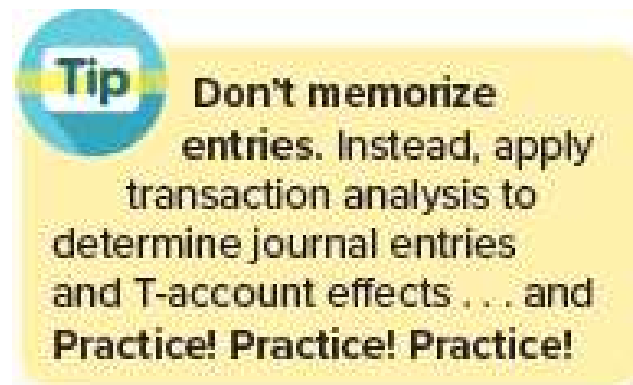
| <b>Solution:</b><br>Beginning Balance | + | Purchases on Account | — | Cash Payments to Suppliers | = | Ending Balance |
|---------------------------------------|---|----------------------|---|----------------------------|---|----------------|
| \$600                                 | + | \$1,500              | — | ?                          | = | \$ 300         |
|                                       |   |                      |   | ?                          | = | \$1,800        |

# Transaction Analysis Illustrated (1 of 9)

- We will now use the hypothetical quarterly investing and financing transactions for **Chipotle Mexican Grill** that were analyzed earlier to demonstrate **recording journal entries** and **posting effects to the relevant T-accounts**.
- Note that the accounting equation **remains in balance** and that debits equal credits after each entry.
- In the T-accounts, the amounts from Chipotle's December 31, 2023, balance sheet (Exhibit 2.1) have been inserted as the beginning balances.

*Careful study is **essential** to an understanding of:*

- (1) the accounting model,*
- (2) transaction analysis,*
- (3) the dual effects of each transaction, and*
- (4) the system of balancing the debits and credits and the accounting equation for each transaction.*



## Transaction Analysis Illustrated (2 of 9)

- (a) Assume Chipotle issued (sold) 100 additional shares of common stock with a par value of \$0.01 per share at a market value of \$0.17 per share, receiving \$17 in cash from investors—a financing activity. Common stock is recorded at par (100 shares  $\times$  \$0.01 par value per share) and Additional Paid-in Capital is recorded for the excess over par value (100 shares  $\times$  \$0.16 per share).

|                                  | Debit | Credit |
|----------------------------------|-------|--------|
| (a) Cash (+A)                    | 17    |        |
| Common stock (+SE)               |       | 1      |
| Additional paid-in capital (+SE) |       | 16     |

| Assets |     | = | Liabilities | + | Stockholders' Equity       |     |
|--------|-----|---|-------------|---|----------------------------|-----|
| Cash   | +17 |   |             |   | Common stock               | +1  |
|        |     |   |             |   | Additional paid-in capital | +16 |

| + Cash (A) – |     | – Common Stock (SE) + |        | – Additional Paid-in Capital (SE) + |        |
|--------------|-----|-----------------------|--------|-------------------------------------|--------|
| 1/1/24       | 561 | 1                     | 1/1/24 | 1,956                               | 1/1/24 |
| (a)          | 17  | 1                     | (a)    | 16                                  | (a)    |

## Transaction Analysis Illustrated (3 of 9)

- (b) Chipotle borrowed \$4 from its local bank, signing a note to be paid in three years (a noncurrent liability)—an financing activity.

|                    | Debit | Credit |
|--------------------|-------|--------|
| (b) Cash (+A)      | 4     |        |
| Notes payable (+L) |       | 4      |

| Assets |    | = | Liabilities   |    | + | Stockholders' Equity |  |
|--------|----|---|---------------|----|---|----------------------|--|
| Cash   | +4 |   | Notes payable | +4 |   |                      |  |

| + Cash (A) - |     |  |  | - Notes Payable (L) + |     |        |  |
|--------------|-----|--|--|-----------------------|-----|--------|--|
| 1/1/24       | 561 |  |  |                       | 148 | 1/1/24 |  |
| (a)          | 17  |  |  |                       | 4   | (b)    |  |
| (b)          | 4   |  |  |                       |     |        |  |

## Transaction Analysis Illustrated (4 of 9)

- (c) Chipotle purchased for cash \$26 in new equipment and \$5 in additional intangible assets—an investing activity.

|                        | Debit | Credit |
|------------------------|-------|--------|
| (c) Equipment (+A)     | 26    |        |
| Intangible assets (+A) | 5     |        |
| Cash (– A)             |       | 31     |

| Assets            |     | = | Liabilities | + | Stockholders' Equity |
|-------------------|-----|---|-------------|---|----------------------|
| Equipment         | +26 |   |             |   |                      |
| Intangible assets | +5  |   |             |   |                      |
| Cash              | –31 |   |             |   |                      |

| + Cash (A) – |     |    | + Equipment (A) – |       |  | + Intangible Assets (A) – |     |  |
|--------------|-----|----|-------------------|-------|--|---------------------------|-----|--|
| 1/1/24       | 561 |    | 1/1/24            | 1,381 |  | 1/1/24                    | 110 |  |
| (a)          | 17  | 31 | (c)               | 26    |  | (c)                       | 5   |  |
| (b)          | 4   |    |                   |       |  |                           |     |  |

## Traction Analysis Illustrated (5 of 9)

(d) Chipotle acquired additional land, \$40 in new buildings, and the right to use \$86 in assets purchased and \$29 in cash, and signed \$6 in current operating leases and \$111 in long-term operating leases to rent facilities for ongoing activity.

|                                            | Debit | Credit |
|--------------------------------------------|-------|--------|
| (d) Land (+A)                              | 20    |        |
| Buildings (+A)                             | 40    |        |
| Operating lease assets (+A)                |       |        |
| Cash (−A)                                  |       | 29     |
| Current operating lease liabilities (+L)   |       | 6      |
| Long-term operating lease liabilities (+L) |       | 111    |

| Assets                 |     | = | Liabilities                           |      | + Stockholders' Equity |
|------------------------|-----|---|---------------------------------------|------|------------------------|
| Land                   | +20 |   | Current operating lease liabilities   | +6   |                        |
| Buildings              | +40 |   | Long-term operating lease liabilities | +111 |                        |
| Operating lease assets | +86 |   |                                       |      |                        |
| Cash                   | −29 |   |                                       |      |                        |

| + Cash (A) − |     |    | + Land (A) − |    |  | + Buildings (A) − |     |  |
|--------------|-----|----|--------------|----|--|-------------------|-----|--|
| 1/1/24       | 561 |    | 1/1/24       | 13 |  | 1/1/24            | 758 |  |
| (a)          | 17  | 31 | (d)          | 20 |  | (a)               | 2   |  |
| (b)          | 4   |    |              |    |  |                   |     |  |

| + Operating lease assets (A) − |     | − Current Operating Lease Liabilities (L) + |     | − Long-Term Operating Lease Liabilities (L) + |     |
|--------------------------------|-----|---------------------------------------------|-----|-----------------------------------------------|-----|
| 1/1/24                         | 248 | 1/1/24                                      | 248 | 1/1/24                                        | 248 |
| (a)                            | 6   | (d)                                         | 6   | (a)                                           | 6   |

## Transaction Analysis Illustrated (6 of 9)

(e) Chipotle sold \$19 in its short-term investments for \$19 cash—an investing activity.

|                             | Debit | Credit |
|-----------------------------|-------|--------|
| (e) Cash (+A)               | 19    |        |
| Short-term investments (–A) |       | 19     |

| Assets                 |     | = | Liabilities | + | Stockholders' Equity |
|------------------------|-----|---|-------------|---|----------------------|
| Cash                   | +19 |   |             |   |                      |
| Short-term investments | –19 |   |             |   |                      |

| + Cash (A) – |     |    |     | + Short-Term Investments (A) – |     |    |     |
|--------------|-----|----|-----|--------------------------------|-----|----|-----|
| 1/1/24       | 561 |    |     | 1/1/24                         | 735 |    |     |
| (a)          | 17  | 31 | (c) |                                |     | 19 | (e) |
| (b)          | 4   | 29 | (d) |                                |     |    |     |
| (e)          | 19  |    |     |                                |     |    |     |

## Transaction Analysis Illustrated (7 of 9)

(f) Within the quarter, assume Chipotle paid \$1 on the note payable in (b) above (ignore any interest on the loan in this chapter)—a financing activity.

|                        | Debit | Credit |
|------------------------|-------|--------|
| (f) Notes payable (–L) | 1     |        |
| Cash (–A)              |       | 1      |

| Assets | =  | Liabilities   | +  | Stockholders' Equity |
|--------|----|---------------|----|----------------------|
| Cash   | –1 | Notes payable | –1 |                      |

| + Cash (A) – |     |    |     | – Notes Payable (L) + |     |        |     |
|--------------|-----|----|-----|-----------------------|-----|--------|-----|
| 1/1/24       | 561 |    |     |                       | 148 | 1/1/24 |     |
| (a)          | 17  | 31 | (c) | (f)                   | 1   | 4      | (b) |
| (b)          | 4   | 29 | (d) |                       |     |        |     |
| (e)          | 19  | 1  | (f) |                       |     |        |     |

## Transaction Analysis Illustrated (8 of 9)

- (g) Chipotle repurchased a portion of its issued common stock from investors for \$103 cash—a financing activity. When a company buys back its stock, it is accounted for in a new type of account called a **contra-account**. A contra-account reduces an account or section of a financial statement it is related to. In this case, the account is called **Treasury Stock** and it reduces total stockholders' equity. Treasury Stock accounting and reporting are discussed in more depth in Chapter 11.

|                          | Debit | Credit |
|--------------------------|-------|--------|
| (g) Treasury stock (–SE) | 103   |        |
| Cash (–A)                |       | 103    |

| Assets |      | = | Liabilities | + | Stockholders' Equity |      |
|--------|------|---|-------------|---|----------------------|------|
| Cash   | –103 |   |             |   | Treasury Stock       | –103 |

| + Cash (A) – |     |     |     | + Treasury Stock (SE) – |       |  |  |
|--------------|-----|-----|-----|-------------------------|-------|--|--|
| 1/1/24       | 561 |     |     | 1/1/24                  | 4,945 |  |  |
| (a)          | 17  | 31  | (c) | (g)                     | 103   |  |  |
| (b)          | 4   | 29  | (d) |                         |       |  |  |
| (e)          | 19  | 1   | (f) |                         |       |  |  |
|              |     | 103 | (g) |                         |       |  |  |


**Tip**

**Reminder:** Debiting Treasury Stock increases the account, but it has a negative effect on stockholders' equity.

## Transaction Analysis Illustrated (9 of 9)

(h) Chipotle does not pay dividends, but instead reinvests profits into growing the business. However, for illustration purposes, assume Chipotle's board of directors declared that the Company will pay a total of \$2 in cash as dividends to shareholders next quarter. Dividends are a distribution of profits (from Retained Earnings) to shareholders. When cash dividends are declared, a liability is created until the cash is distributed to shareholders. Because Dividends Payable was not listed on the December 31, 2023 balance sheet (see Exhibit 2.1), it has a \$0 balance on January 1, 2024.

|                             | Debit | Credit |
|-----------------------------|-------|--------|
| (h) Retained earnings (–SE) | 2     |        |
| Dividends payable (+L)      |       | 2      |

| Assets | = | Liabilities       | +  | Stockholders' Equity |
|--------|---|-------------------|----|----------------------|
|        |   | Dividends payable | +2 | Retained earnings –2 |

| – Dividends Payable (L) + | – Retained Earnings (SE) + |
|---------------------------|----------------------------|
| 0      1/1/24             | 6,050    1/1/24            |
| 2      (h)                | (h)      2                 |

# Exhibit 2.8 T-Accounts

After analyzing the transactions from (a)–(h), the T-accounts balances are:

## EXHIBIT 2.8

### T-Accounts

| + Cash (A) – |            |     |     |
|--------------|------------|-----|-----|
| 1/1/24       | 561        |     |     |
| (a)          | 17         | 31  | (c) |
| (b)          | 4          | 29  | (d) |
| (e)          | 19         | 1   | (f) |
|              |            | 103 | (g) |
|              | <u>437</u> |     |     |

| + Short-Term Investments (A) – |            |    |     |
|--------------------------------|------------|----|-----|
| 1/1/24                         | 735        |    |     |
|                                |            | 19 | (e) |
|                                | <u>716</u> |    |     |

| + Land (A) – |           |  |  |
|--------------|-----------|--|--|
| 1/1/24       | 13        |  |  |
| (d)          | 20        |  |  |
|              | <u>33</u> |  |  |

| + Buildings (A) – |              |  |  |
|-------------------|--------------|--|--|
| 1/1/24            | 2,758        |  |  |
| (d)               | 40           |  |  |
|                   | <u>2,798</u> |  |  |

| + Equipment (A) – |              |  |  |
|-------------------|--------------|--|--|
| 1/1/24            | 1,381        |  |  |
| (c)               | 26           |  |  |
|                   | <u>1,407</u> |  |  |

| + Operating Lease Assets (A) – |              |  |  |
|--------------------------------|--------------|--|--|
| 1/1/24                         | 3,579        |  |  |
| (d)                            | 86           |  |  |
|                                | <u>3,665</u> |  |  |

| + Intangible Assets (A) – |            |  |  |
|---------------------------|------------|--|--|
| 1/1/24                    | 110        |  |  |
| (c)                       | 5          |  |  |
|                           | <u>115</u> |  |  |

| Dividends<br>– Payable (L) + |          |        |  |
|------------------------------|----------|--------|--|
|                              | 0        | 1/1/24 |  |
|                              | 2        | (h)    |  |
|                              | <u>2</u> |        |  |

| Current Operating<br>– Lease Liabilities (L) + |            |        |  |
|------------------------------------------------|------------|--------|--|
|                                                | 248        | 1/1/24 |  |
|                                                | 6          | (d)    |  |
|                                                | <u>254</u> |        |  |

| Notes<br>– Payable (L) + |            |        |     |
|--------------------------|------------|--------|-----|
|                          | 148        | 1/1/24 |     |
| (f)                      | 1          | 4      | (b) |
|                          | <u>151</u> |        |     |

| Long-Term Operating<br>– Lease Liabilities (L) + |              |        |  |
|--------------------------------------------------|--------------|--------|--|
|                                                  | 3,803        | 1/1/24 |  |
|                                                  | 111          | (d)    |  |
|                                                  | <u>3,914</u> |        |  |

| – Common Stock (SE) + |          |        |  |
|-----------------------|----------|--------|--|
|                       | 1        | 1/1/24 |  |
|                       | 1        | (a)    |  |
|                       | <u>2</u> |        |  |

| – Additional Paid-in Capital (SE) + |              |        |  |
|-------------------------------------|--------------|--------|--|
|                                     | 1,956        | 1/1/24 |  |
|                                     | 16           | (a)    |  |
|                                     | <u>1,972</u> |        |  |

| + Treasury Stock (SE) – |              |  |  |
|-------------------------|--------------|--|--|
| 1/1/24                  | 4,945        |  |  |
| (g)                     | 103          |  |  |
|                         | <u>5,048</u> |  |  |

| – Retained Earnings (SE) + |              |        |  |
|----------------------------|--------------|--------|--|
|                            | 6,050        | 1/1/24 |  |
| (h)                        | 2            |        |  |
|                            | <u>6,048</u> |        |  |

# Using Big Data for Business Expansion



## DATA ANALYTICS

Big data analytics  
examining  
amounts of data  
uncover hidden  
patterns, correlations  
and other insights.

With today's  
technology, it's  
possible to analyze  
data and get  
insights from it  
almost in real time.

Data can be collected  
from inside a company  
(accounts, sales, HR,  
etc.) and from outside (social  
media, customers, etc.).

Companies  
are making  
more data-  
driven  
decisions.

These  
data-driven decisions can  
reduce costs  
and transform  
the business  
for the future.

Data Analytics has  
grown in the past  
several years, creating  
opportunities and  
competition for  
individuals with  
analytical skills.

# Learning Objective 2-5

**2-5** Prepare a trial balance and simple classified balance sheet and analyze the company using the current ratio.

# Trial Balance

- List the names of the T-accounts in financial statement order (assets, liabilities, stockholders' equity, revenues, and expenses).
- The purpose of the trial balance is to **check the equality of the debits and credits.**
- Errors may still exist if the wrong accounts or amounts were used in the journal entries!*

| File Home Insert Page Layout Formulas Data Review View Help |                                                                                                              |               |               |   |
|-------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------|---------------|---------------|---|
| A33                                                         |                                                                                                              |               |               |   |
| A                                                           | B                                                                                                            | C             | D             | E |
| 1                                                           | <b>CHIPOTLE MEXICAN GRILL -- TRIAL BALANCE</b>                                                               |               |               |   |
| 2                                                           | <b>March 31, 2024</b>                                                                                        |               |               |   |
| 3                                                           |                                                                                                              | <b>Debit</b>  | <b>Credit</b> |   |
| 4                                                           | Cash                                                                                                         | 437           |               | * |
| 5                                                           | Short-term investments                                                                                       | 716           |               | * |
| 6                                                           | Accounts receivable                                                                                          | 169           |               |   |
| 7                                                           | Supplies                                                                                                     | 39            |               |   |
| 8                                                           | Prepaid expenses                                                                                             | 117           |               |   |
| 9                                                           | Land                                                                                                         | 33            |               | * |
| 10                                                          | Buildings                                                                                                    | 2,798         |               | * |
| 11                                                          | Equipment                                                                                                    | 1,407         |               | * |
| 12                                                          | Accumulated depreciation                                                                                     |               | 1,982         |   |
| 13                                                          | Long-term investments                                                                                        | 564           |               |   |
| 14                                                          | Operating lease assets                                                                                       | 3,665         |               | * |
| 15                                                          | Intangible assets                                                                                            | 115           |               | * |
| 16                                                          | Accounts payable                                                                                             |               | 198           |   |
| 17                                                          | Unearned revenue                                                                                             |               | 210           |   |
| 18                                                          | Wages payable                                                                                                |               | 227           |   |
| 19                                                          | Utilities payable                                                                                            |               | 148           |   |
| 20                                                          | Dividends payable                                                                                            |               | 2             | * |
| 21                                                          | Current operating lease liabilities                                                                          |               | 254           | * |
| 22                                                          | Notes payable                                                                                                |               | 151           | * |
| 23                                                          | Long-term operating lease liabilities                                                                        |               | 3,914         | * |
| 24                                                          | Common stock                                                                                                 |               | 2             | * |
| 25                                                          | Additional paid-in capital                                                                                   |               | 1,972         | * |
| 26                                                          | Treasury stock                                                                                               | 5,048         |               | * |
| 27                                                          | Retained earnings                                                                                            |               | 6,048         | * |
| 28                                                          |                                                                                                              |               |               |   |
| 29                                                          | <b>Total</b>                                                                                                 | <b>15,108</b> | <b>15,108</b> |   |
| 30                                                          |                                                                                                              |               |               |   |
| 31                                                          | * Balance changed due to hypothetical investing and financing transactions during the first quarter of 2024. |               |               |   |
| 32                                                          |                                                                                                              |               |               |   |

## EXHIBIT 2.9

Chipotle Mexican Grill's First Quarter 2024 Trial Balance (based on hypothetical investing and financing activities)

Debits = Credits!

# Classified Balance Sheet

The balance sheet is prepared from the trial balance. It has a good heading (name of company, title of statement, date, dollars if rounded to thousands or millions).

Group assets and liabilities into current and noncurrent (long term).

Include comparative data such as 12/31/2024 and 12/31/2023.

Most companies do not provide a total liabilities line. To determine that amount add total current liabilities and each of the noncurrent liabilities.

# Exhibit 2.9 (1 of 3)

## Chipotle Mexican Grill's First Quarter 2024 Balance Sheet (based on hypothetical investing and financing activities)

| CHIPOTLE MEXICAN GRILL, INC.<br>Consolidated Balance Sheets*<br>(in millions of dollars, except per share data) |                   |                      |
|-----------------------------------------------------------------------------------------------------------------|-------------------|----------------------|
|                                                                                                                 | March 31,<br>2024 | December 31,<br>2023 |
| <b>ASSETS</b>                                                                                                   |                   |                      |
| Current Assets:                                                                                                 |                   |                      |
| Cash                                                                                                            | \$ 437            | \$ 561               |
| Short-term investments                                                                                          | 716               | 735                  |
| Accounts receivable                                                                                             | 169               | 169                  |
| Supplies                                                                                                        | 39                | 39                   |
| Prepaid expenses                                                                                                | 117               | 117                  |
| Total current assets                                                                                            | 1,478             | 1,621                |
| Property and Equipment:                                                                                         |                   |                      |
| Land                                                                                                            | 33                | 13                   |
| Buildings                                                                                                       | 2,798             | 2,758                |
| Equipment                                                                                                       | 1,407             | 1,381                |
| Total cost                                                                                                      | 4,238             | 4,152                |
| Accumulated depreciation                                                                                        | (1,982)           | (1,982)              |
| Net property and equipment                                                                                      | 2,256             | 2,170                |
| Long-term investments                                                                                           | 564               | 564                  |
| Operating lease assets                                                                                          | 3,665             | 3,579                |
| Intangible assets                                                                                               | 115               | 110                  |
| Total assets                                                                                                    | <u>\$ 8,078</u>   | <u>\$ 8,044</u>      |
| <b>LIABILITIES AND STOCKHOLDERS' EQUITY</b>                                                                     |                   |                      |
| Current Liabilities:                                                                                            |                   |                      |
| Accounts payable                                                                                                | \$ 198            | \$ 198               |
| Unearned revenue                                                                                                | 210               | 210                  |
| Accrued expenses payable:                                                                                       |                   |                      |
| Wages payable                                                                                                   | 227               | 227                  |
| Utilities payable                                                                                               | 148               | 148                  |
| Dividends payable                                                                                               | 2                 | -                    |
| Current operating lease liabilities                                                                             | 254               | 248                  |
| Total current liabilities                                                                                       | 1,039             | 1,031                |
| Notes payable                                                                                                   | 151               | 148                  |
| Long-term operating lease liabilities                                                                           | 3,914             | 3,803                |
| Total liabilities                                                                                               | 5,104             | 4,982                |
| Stockholders' Equity:                                                                                           |                   |                      |
| Common stock (\$0.01 par value per share)                                                                       | 2                 | 1                    |
| Additional paid-in capital                                                                                      | 1,972             | 1,956                |
| Treasury stock                                                                                                  | (5,048)           | (4,945)              |
| Retained earnings                                                                                               | 6,048             | 6,050                |
| Total stockholders' equity                                                                                      | 2,974             | 3,062                |
| Total liabilities and stockholders' equity                                                                      | <u>\$ 8,078</u>   | <u>\$ 8,044</u>      |
| *Reflects simplified December 31, 2023, figures and hypothetical March 31, 2024, information.                   |                   |                      |

# Exhibit 2.9 (2 of 3)

## Chipotle Mexican Grill's First Quarter 2024 Balance Sheet (based on hypothetical investing and financing activities)

| <b>CHIPOTLE MEXICAN GRILL, INC.</b><br><b>Consolidated Balance Sheets*</b><br>(in millions of dollars, except per share data) |                   |                      |
|-------------------------------------------------------------------------------------------------------------------------------|-------------------|----------------------|
|                                                                                                                               | March 31,<br>2024 | December 31,<br>2023 |
| <b>ASSETS</b>                                                                                                                 |                   |                      |
| Current Assets:                                                                                                               |                   |                      |
| Cash                                                                                                                          | \$ 437            | \$ 561               |
| Short-term investments                                                                                                        | 716               | 735                  |
| Accounts receivable                                                                                                           | 169               | 169                  |
| Supplies                                                                                                                      | 39                | 39                   |
| Prepaid expenses                                                                                                              | 117               | 117                  |
| Total current assets                                                                                                          | 1,478             | 1,621                |
| Property and Equipment:                                                                                                       |                   |                      |
| Land                                                                                                                          | 33                | 13                   |
| Buildings                                                                                                                     | 2,798             | 2,758                |
| Equipment                                                                                                                     | 1,407             | 1,381                |
| Total cost                                                                                                                    | 4,238             | 4,152                |
| Accumulated depreciation                                                                                                      | (1,982)           | (1,982)              |
| Net property and equipment                                                                                                    | 2,256             | 2,170                |
| Long-term investments                                                                                                         | 564               | 564                  |
| Operating lease assets                                                                                                        | 3,665             | 3,579                |
| Intangible assets                                                                                                             | 115               | 110                  |
| Total assets                                                                                                                  | <u>\$ 8,078</u>   | <u>\$8,044</u>       |

## Exhibit 2.9 (3 of 3)

### Chipotle Mexican Grill's First Quarter 2024 Balance Sheet (based on hypothetical investing and financing activities)

#### LIABILITIES AND STOCKHOLDERS' EQUITY

##### Current Liabilities:

|                                     |        |        |
|-------------------------------------|--------|--------|
| Accounts payable                    | \$ 198 | \$ 198 |
| Unearned revenue                    | 210    | 210    |
| Accrued expenses payable:           |        |        |
| Wages payable                       | 227    | 227    |
| Utilities payable                   | 148    | 148    |
| Dividends payable                   | 2      | -      |
| Current operating lease liabilities | 254    | 248    |

|                           |       |       |
|---------------------------|-------|-------|
| Total current liabilities | 1,039 | 1,031 |
|---------------------------|-------|-------|

|               |     |     |
|---------------|-----|-----|
| Notes payable | 151 | 148 |
|---------------|-----|-----|

|                                       |       |       |
|---------------------------------------|-------|-------|
| Long-term operating lease liabilities | 3,914 | 3,803 |
|---------------------------------------|-------|-------|

|                   |       |       |
|-------------------|-------|-------|
| Total liabilities | 5,104 | 4,982 |
|-------------------|-------|-------|

##### Stockholders' Equity:

|                                           |         |         |
|-------------------------------------------|---------|---------|
| Common stock (\$0.01 par value per share) | 2       | 1       |
| Additional paid-in capital                | 1,972   | 1,956   |
| Treasury stock                            | (5,048) | (4,945) |
| Retained earnings                         | 6,048   | 6,050   |

|                            |       |       |
|----------------------------|-------|-------|
| Total stockholders' equity | 2,974 | 3,062 |
|----------------------------|-------|-------|

|                                            |                 |                |
|--------------------------------------------|-----------------|----------------|
| Total liabilities and stockholders' equity | <u>\$ 8,078</u> | <u>\$8,044</u> |
|--------------------------------------------|-----------------|----------------|

\*Reflects simplified December 31, 2023, figures and hypothetical March 31, 2024, information.

# Understanding Foreign Financial Statements



## INTERNATIONAL PERSPECTIVE

IFRS (International Financial Reporting Standards) uses the same system of analyzing, recording, and summarizing the results of business activities as GAAP.

**However, the financial statements are formatted differently as follows:**

|                                                                                                                        | GAAP                        | IFRS                        |
|------------------------------------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>Balance Sheet Order</b>                                                                                             | <b>Assets:</b>              | <b>Assets:</b>              |
| Similar accounts are shown, but the order of liquidity (for assets) and the order of maturity (for liabilities) differ | Current                     | Noncurrent                  |
|                                                                                                                        | Noncurrent                  | Current                     |
|                                                                                                                        | <b>Liabilities:</b>         | <b>Stockholders' Equity</b> |
|                                                                                                                        | Current                     | <b>Liabilities:</b>         |
|                                                                                                                        | Noncurrent                  | Noncurrent                  |
|                                                                                                                        | <b>Stockholders' Equity</b> | Current                     |

# Current Ratio



## KEY RATIO ANALYSIS

$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

Does a company have enough short-term resources to pay short-term debt?

$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

The 2023 ratio for **Chipotle Mexican Grill** is 1.572.

$$\frac{1,621}{1,031} = 1.572$$

| COMPARISONS OVER TIME  |       |       |
|------------------------|-------|-------|
| Chipotle Mexican Grill |       |       |
| 2021                   | 2022  | 2023  |
| 1.581                  | 1.274 | 1.572 |

| COMPARISONS WITH COMPETITORS |             |
|------------------------------|-------------|
| El Pollo Loco Holdings       | Shake Shack |
| 2023                         | 2023        |
| 0.346                        | 2.038       |

Offers Mexican-inspired grilled chicken and entrees

Offers a classic American menu of premium burgers, hot dogs, crispy chicken, crinkle cut fries, shakes, and more

# Learning Objective 2-6

**2-6** Identify investing and financing transactions and demonstrate how they impact cash flows.

# Investing and Financing Activities (1 of 2)



## FOCUS ON CASH FLOWS

Companies report cash inflows and outflows over a period in their **statement of cash flows**, which is divided into three categories: operating, investing, and financing activities.

- Operating activities are covered in a later chapter.
- Investing activities include buying and selling noncurrent assets and short- and long-term investments.
- Financing activities include issuing and repaying debt, including short-term borrowings, and repurchasing stock or paying dividends.

**Only transactions affecting cash are reported on the statement.**

You must see CASH in the transaction for it to affect the statement of cash flows.

## Investing and Financing Activities (2 of 2)



### FOCUS ON CASH FLOWS

An important step in constructing and analyzing the statement of cash flows is identifying the various transactions as operating (O), investing (I), or financing (F). Let's analyze the Cash T-account for **Empotle's** transactions in this chapter.

|                          |    | + Cash (a) |            |     |                                      |
|--------------------------|----|------------|------------|-----|--------------------------------------|
|                          |    | 1/1/24     | 561        |     |                                      |
| From investors           | +F | (a)        |            | (c) | -I For noncurrent assets             |
| From the bank            | +F | (b)        | 29         |     | -I For noncurrent assets             |
| From sale of investments | +I | (e)        | 1          |     | F To repay notes payable to the bank |
|                          |    |            | 103        | (g) | To repurchase common stock           |
|                          |    |            | <u>437</u> |     |                                      |

Only transactions affecting cash are reported on the statement.